

MARKET ENTRY STRATEGY | 2024–2026

Zepto's Expansion into Telangana

Hyderabad Metro & Tier-2 City Playbook

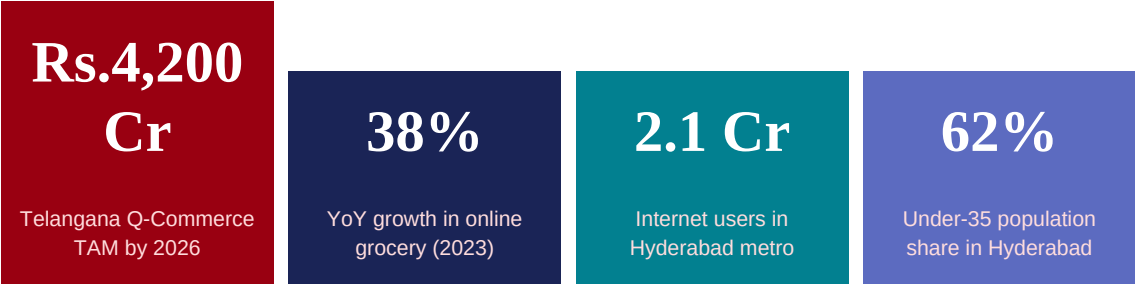
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Executive Summary

Strategic Overview

Telangana presents a high-conviction market entry opportunity for Zepto. The state's quick-commerce TAM is projected to reach **Rs.4,200 crore by 2026**, driven by rapid urbanisation, a tech-savvy under-35 demographic, and the dual-income household trend in Hyderabad. No competitor has yet established a meaningful Tier-2 city presence — a first-mover window of 12–18 months exists.



Key Recommendation: Approve a phased Rs.42 Cr capital deployment across 18 months — densify Hyderabad dark-store coverage, then sequentially enter Warangal (Q2 2025), Karimnagar (Q3 2025), and Nizamabad (Q1 2026). NPV-positive by Month 24.

1. Market Opportunity

Why Telangana, Why Now

Telangana Quick-Commerce Landscape

Hyderabad ranks third in India for quick-commerce readiness (Redseer 2023). The HITEC City and Gachibowli IT corridor generates a dense cluster of high-income, time-constrained consumers — the core quick-commerce demographic. Online grocery penetration in Greater Hyderabad stands at approximately 14%, compared to 22% in Bengaluru, signalling significant headroom.

- Hyderabad ranked #3 in India for quick-commerce readiness (Redseer 2023)
- Telangana IT corridor (HITEC City, Gachibowli) drives high-income, time-poor consumers
- Warangal, Karimnagar, Nizamabad: Rs.900 Cr combined grocery market, <5% online penetration
- TS-iPASS: Telangana's single-window clearance enables 18-day average warehouse licensing
- Dual-income households in Hyderabad growing at 12% CAGR — #1 quick-commerce propensity driver
- State logistics policy: 25% capex subsidy on cold-chain warehouses under 5,000 sq ft

Tier-2 Telangana: The Uncontested Frontier

While competitors have battled for Hyderabad market share, no player has addressed Tier-2 Telangana. The combined grocery market of Warangal, Karimnagar, and Nizamabad is estimated at Rs.900 crore annually, with online penetration below 5% in each city. Consumer interviews indicate strong latent demand — particularly among government employees and private-sector workers already accustomed to app-based ordering via Swiggy and Zomato.

2. Competitive Landscape

Market Share & Gaps

Competitor Benchmarking — Hyderabad Market

Player	Dark Stores (Hyd)	Delivery SLA	SKU Count	Telangana Tier-2
Blinkit	14	8–12 min	8,000+	Absent
Swiggy Instamart	11	10–15 min	7,500+	Warangal only
Zepto (current)	7	10 min	5,000+	Absent
BigBasket BB Now	6	15–20 min	12,000+	Absent
Dunzo (declining)	3	20–30 min	4,000	Absent

Strategic Gap Analysis

- **Tier-2 Telangana is uncontested:** No player has launched in Warangal, Karimnagar, or Nizamabad — first-mover advantage available for 12–18 months.
- **SKU depth gap:** Zepto's 5,000-SKU catalogue trails BigBasket (12,000+). Regional Telugu staples can narrow this gap while differentiating on local relevance.
- **Delivery parity with Blinkit:** Zepto's 10-min SLA is competitive; the gap is dark-store density. Eight additional stores bring 85%+ of Hyderabad metro within range.

3. City Prioritisation & Target Segments

Phased Entry Framework

City	Phase	Households	Key Segment	GMV Target
Hyderabad Metro	Phase 1 (Now)	1.05 Cr	IT professionals, dual-income households	Rs.180 Cr (Q4 2025)
Warangal	Phase 2 (Q2 2025)	7.2 L	Students, government employees, IT	Rs.22 Cr (Q2 2026)
Karimnagar	Phase 2 (Q3 2025)	3.8 L	Industrial workers, pharma demand	Rs.12 Cr (Q3 2026)
Nizamabad	Phase 3 (Q1 2026)	3.1 L	Agri-adjacent, FMCG + daily needs	Rs.9 Cr (Q4 2026)

4. Entry Strategy

Operations, Assortment &
Partnerships

Dark Store Expansion

- +8 dark stores in Hyderabad by Q2 2025: Miyapur, Kukatpally, LB Nagar, Uppal, Kondapur, Secunderabad, Mehdiapatnam, Dilsukhnagar
- Each store: 1,800–2,200 sq ft, 10-minute delivery radius of 2.5 km
- Tier-2 micro-fulfilment: partner with kirana wholesalers before dedicated dark stores
- TS-iPASS licensing: target 18-day approvals; pre-file applications 30 days ahead of opening

Hyperlocal Assortment

- Add 500 regional SKUs: Sunnundalu, Pesarattu mix, Gongura pickle, Pulihora paste, Rayalaseema karam podi
- Festival-specific inventory: Sankranti, Bathukamma, Bonalu — pre-position 3 weeks ahead
- Regional FMCG brands: Sri Krishna Sweets, Balaji Wafers, MTR Foods, Aachi spices — exclusive listings
- Pharmacy tie-up: Apollo Pharmacy for OTC medicines in Hyderabad stores

Strategic Partnerships

- Supply-chain redundancy: Reliance Fresh & More as overflow inventory partner during demand spikes
- Cold chain: Hatsun Agro and Heritage Foods for dairy and fresh supply in Telangana
- Telangana Poultry & Dairy Board: preferred supplier MoU for meat and dairy categories
- Last-mile operations: partner with Dunzo alumni network and local logistics startups for Tier-2

5. Financial Projections

GMV, Unit Economics &
Payback

GMV Trajectory — Telangana

Period	Q3 2024	Q4 2024	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
GMV (Rs. Cr)	28	45	72	105	142	185	223
QoQ Growth	—	+61%	+60%	+46%	+35%	+30%	+21%

Unit Economics Improvement

Metric	Current (Hyderabad)	Target (12 Months)
Avg. Order Value	Rs.485	Rs.520
Take Rate	4.2%	5.5%
Contribution Margin	-2.1%	+3.8%
Orders / Store / Day	320	480
Payback Period	28 months	18 months
Dark Store Count (Hyd)	7	15

Break-even Projection: Hyderabad cluster reaches EBITDA positive by Q3 2025 (Month 14 post new dark-store cohort). Full Telangana EBITDA positive by Q2 2026. Total capital ask: **Rs.42 Cr** over 18 months (Rs.28 Cr dark stores + Rs.14 Cr marketing & supply chain).

6. Risk & Mitigation

Execution Risks & Contingencies

Risk	Level	Mitigation
Competitive Response (Blinkit/Instamart)	HIGH	First-mover lock-in: 3-year warehouse leases in Tier-2 before Blinkit acts; speed is the priority
Supply Chain Complexity — Tier-2	MED	Regional DC in Warangal by Q3 2025; cold-chain partnerships with Hatsun Agro and Heri
Consumer Trust in New Markets	MED	Telugu OTT ads, local micro-influencers, zero-delivery-fee for first 3 orders per new user
Regulatory / Licensing Delays	LOW	TS-iPASS pre-filing; FSSAI submitted 45 days ahead; dedicated Telangana compliance m
Last-Mile Talent & Attrition	MED	Partner with Hyd Skill Development Corp; 15% wage premium vs. market to reduce churn

7. 90-Day Action Plan

*Immediate Execution
Roadmap*

Days 1–30: Foundation

- Sign 4 new dark-store leases in Hyderabad: Miyapur, Kukatpally, LB Nagar, Uppal
- Complete Warangal site survey; shortlist 2 locations and engage property owners
- Launch Telugu OTT & digital campaign (budget: Rs.3 Cr); onboard 3 regional brand partners
- File TS-iPASS applications for all planned Tier-2 stores

Days 31–60: Build

- Open 2 new Hyderabad dark stores; hire and train 60 delivery partners
- Go-live with 500 new regional SKUs across all Hyderabad stores
- Pilot Apollo Pharmacy OTC tie-up in 3 Hyderabad locations
- Begin Warangal store fit-out; target Day 88 soft launch

Days 61–90: Scale

- Open remaining 2 Hyderabad dark stores; GMV target: Rs.85 Cr/month run-rate
- Warangal Store #1 operational by Day 90 — proof point for Phase 2 capital release
- Launch Zepto Coins loyalty programme with Telugu-language UX
- Review unit economics; go/no-go decision on Karimnagar expansion

Capital Ask: Approve Rs.42 Cr Telangana expansion budget (Rs.28 Cr dark stores + Rs.14 Cr marketing/supply chain) & authorize 90-day action plan. Key milestone: Warangal Store #1 open by Day 90.